

Sales Growth (5%, 4.2 percentage point decline)

Internal Drivers:

- **↑Omni-Channel Strategy:** E-commerce (6% growth in 2025) and in-store sales (14% internationally) enhance accessibility.
- **↑Store Expansion:** Slowing pace of new stores (46 new stores opened in Q3 and Q4 of 2024, but 17 net stores opened in Q1 and Q2 of 2025). Total square footage is up, however. Rising and volatile mortgage rates may mitigate store expansion in the rest of 2025.
- **↑Product Innovation:** Lulu still produces a great product with great innovative fabrics and sustainable initiatives; their product teams will adjust to match consumer preferences.

External Drivers:

- **↓U.S.weakness:** Comparable sales in the Americas fell 4% in Q2 2025 (vs. Q2 2024), with total revenue only up 1%, signaling reduced foot traffic and average transaction values in Lulu's core market (75% of revenue). This trend will continue into the rest of 2025.
- **↑International Strength:** China (41% revenue growth) and Rest of World (27%) drive important gains, but total comparable sales in 2025 dropped to 4% (from 25% in 2023 and 13% in 2024), showing decreased sales momentum. If sales growth continues in non-comparable sales internationally, Lulu will have a chance to break 11 billion in sales this year.
- **↓Macroeconomic headwinds:** Economic uncertainty and a tough labor market will adversely affect consumer demand.
- **↓Competition:** The Athleisure market is crowded with new players (Alo, Vuori), with better pricing strategies for Gen Z and X.

Overall, since comparable sales in the North American market are slowing (Lulu's most valuable market), and despite market expansion having proven valuable internationally, I don't foresee sales growth surpassing 5% in fiscal year 2025 unless US sales pick up drastically.

Gross Margin (56.6%, 260 BP decrease)

Internal Drivers:

- **↑Supply chain efficiencies:** In comparison to recent years, freight costs are down, improving product margins comparatively.
- **↑Product Mix/ Pricing:** Premium pricing and sustainable fabrics (e.g., Samsara Eco partnership) support brand identity but raise input costs, overall positive driver.
- **↑Decreased material pricing:** offset partially by tariffs, global trends in raw materials are declining.

External Drivers:

- **↓Tariffs:** Management has discussed ongoing difficulties with Trump's tariffs and de minimis removal, since Lulu sources fabrics from China, Vietnam, etc., which get hit heavily with tariffs. Uncertain tariff regulation will continue into 2025/26.
- **↓FX fluctuations:** USD appreciation negatively impacts the cost of imported materials.

Overall, tariff pressure compresses margins and, in turn, profitability. I foresee gross profit and gross margin growing in the latter half of 2025, but still down from last year.

EBIT Margin (21.6%, 210 BP decrease)

Internal Drivers:

- **↓SG&A costs trending up:** employee headcount and wages have been growing naturally, but I predict relatively prudent external spending here, given adverse tariff effects. Holiday staffing and marginal variable costs from more sales will rise SG&A expenses in H2 of 2025.
- **↑Operational discipline:** Omni-channel scale and inventory management remains a strength of Lulu, and being attentive to this will be vital for Lulu to budget EBIT in H2 of 2025.
- **↓Marketing:** To recapture some of the US market, I foresee Lulu pushing new brand activations and digital marketing campaigns, as an SG&A expense.

External Drivers:

- **↓Professional Costs:** Auditing, consulting, or sustainability compliance fees appreciate naturally from year to year, a negative driver.
- **↓Variable Costs:** With sales growth, credit card fees, packaging, etc., are all inflated.
- **↓Macroeconomic Headwinds:** inflation and uncertainty raise operating costs (utilities, leases, etc.)

Overall, EBIT is affected primarily by decreased profitability in the 2025 fiscal year and the natural rise in SG&A expenses. With weak performance in H1 of 2025, I expect some improvement, but underperformance from 2024.

Metric	2023 (Fiscal 2022)	2024 (Fiscal 2023)	2025 (Fiscal 2024)	2026E (Fiscal 2025)
Net Sales	8,111	9,619	10,588	11,117
Sales Growth (%)	30%	19%	10%	5%
Gross Profit	4,492	5,609	6,271	6,297
Gross Margin (%)	55.4%	58.3%	59.2%	56.6%
Gross Margin Change (bps)	-230	+290	+90	-260
EBIT (Operating Income)	1,328	2,133	2,506	2,405
EBIT Margin (%)	16.4%	22.2%	23.7%	21.6%